

EXHIBIT 1

**IN THE UNITED STATES BANKRUPTCY COURT
FOR THE EASTERN DISTRICT OF LOUISIANA**

In re:	*	NUMBER
THE BABCOCK & WILCOX COMPANY,	*	00-10992
	*	SECTION "B"
DEBTOR(S)	*	CHAPTER 11
	*	REORGANIZATION
<u>Jointly Administered With</u>		
DIAMOND POWER INTERNATIONAL	*	00-10993
BABCOCK & WILCOX CONSTRUCTION	*	00-10994
AMERICON, INC.	*	00-10995

**ANNUAL REPORT AND ACCOUNT OF
THE BABCOCK & WILCOX COMPANY ASBESTOS PI TRUST
FOR THE FISCAL YEAR ENDING DECEMBER 31, 2025**

James J. McMonagle, Jack T. Marionneaux, and Philip A. Pahigian, the Trustees of The Babcock & Wilcox Company Asbestos PI Trust (the "Trust"), created pursuant to the Joint Plan of Reorganization as of September 28, 2005, as amended through January 17, 2006 (the "Plan") submit this Annual Report, Financial Statements, and Claims Summary for the fiscal year ended December 31, 2025.

I. INTRODUCTION

The purpose of this Annual Report is to comply with the reporting requirements of the Babcock & Wilcox Company Asbestos Personal Injury Trust Agreement (the "Trust Agreement") and to report to the Court on the actions taken by the Trustees on behalf of the Trust during the period from January 1, 2025 to December 31, 2025 (the "Reporting Period").

Section 2.2(d) of the Trust Agreement provides:

The Trustees shall timely account to the Bankruptcy Court as follows:

- (i) The Trustees shall cause to be prepared and filed with the Bankruptcy Court, as soon as available, and in any event within one hundred and twenty (120) days following the end of each fiscal year, an annual report containing financial statements of

the Asbestos PI Trust (including, without limitation, a balance sheet of the Asbestos PI Trust as of the end of such fiscal year and a statement of operations for such fiscal year) audited by a firm of independent certified public accountants selected by the Trustees and accompanied by an opinion of such firm as to the fairness of the financial statements' presentation of the cash and investments available for the payment of claims and as to the conformity of the financial statements with generally accepted accounting principles. The Trustees shall provide a copy of such report to the TAC, the FCR, and the Reorganized Debtors when such reports are filed with the Bankruptcy Court.

(ii) Simultaneously with delivery of each set of financial statements referred to in Section 2.2(d)(i) above, the Trustees shall cause to be prepared and filed with the Bankruptcy Court a report containing a summary regarding the number and type of claims disposed of during the period covered by the financial statements. The Trustees shall provide a copy of such report to the TAC, the FCR, and the Reorganized Debtors when such report is filed.

(iii) All materials required to be filed with the Bankruptcy Court by this Section 2.2(d) shall be available for inspection by the public in accordance with procedures established by the Bankruptcy Court and shall be filed with the Office of the United States Trustee for the Eastern District of Louisiana.

The Trust Agreement further provides for the inclusion of a description of the amounts paid to the Trustees, the Trust Advisory Committee (the "TAC"), and the Future Claimants' Representative (the "FCR") in the accounts filed with the Bankruptcy Court. See Sections 4.5(c), 5.6, and 6.5.

II. BACKGROUND

On February 22, 2000, B&W, Americon, Diamond Power, and B&W Construction (the "Debtors") filed voluntary petitions for relief under Chapter 11 of Title 11 of the United States Code. The Chapter 11 cases were consolidated for procedural purposes and jointly administered pursuant to an Order of the Court. On December 28, 2005, the United States Bankruptcy Court for the Eastern District of Louisiana (the "Bankruptcy Court") recommended confirmation of the

Plan in Consolidated Case Nos. 00-10992 through 00-10995. On January 17, 2006, the United States District Court for the Eastern District of Louisiana entered an Order confirming the Plan. On February 22, 2006 (the “Effective Date”), the Plan became effective, and the Trustees began to operate the Trust.

On the Effective Date, pursuant to the terms of the Plan, the Trust was funded with the McDermott Consideration, as that term is defined in the Plan. The purpose of the Trust is to assume the liabilities of the Debtors, their predecessors and successors in interest, arising from or related to Asbestos PI Trust Claims, as defined in the Plan, and to use the assets of the Trust to pay both present and future asbestos claimants in such a way that the holders of Asbestos PI Trust Claims are treated fairly. See Trust Agreement, Section 1.2.

III. TRUST ADMINISTRATION

A. Trustees

James J. McMonagle, Jack T. Marionneaux, and Philip A. Pahigian served as the Trustees of the Trust during the Reporting Period. Mr. McMonagle served as the Managing Trustee during the Reporting Period.

1. Meetings

During the Reporting Period, the Trustees held formal meetings in accordance with the requirements of the Trust Agreement. These meetings were designated as “regular meetings” under the Trust’s By-laws. These meetings were designated as “regular meetings” under the Trust’s By-laws. The meetings were attended by representatives of the TAC, the FCR, Cambridge Associates LLC, and the Delaware Claims Processing Facility. In addition to these formal meetings, the Trustees held regularly scheduled weekly teleconferences, met individually with Trust advisors virtually, held virtual executive sessions and special purpose meetings,

including virtual meetings to address Trust policies and claims processing matters and meetings with the Trust's investment advisor and investment managers, and devoted considerable time to Trust matters outside of scheduled meetings. Activities included exercising oversight over the investment and liquidation of Trust assets to pay claims and the Trust's processes to receive, process, and pay claims pursuant to the Trust Distribution Procedures, communicating with claimants regarding the processing of claims, continual monitoring of the claims and investment processes and supervising various insurance-related matters.

2. Compensation

The compensation and expenses paid to the Trustees during the Reporting Period is set forth in the Trust's financial statements attached hereto as Exhibit "A." The inclusion of this information in the Trust's financial statements satisfies the requirements of Section 4.5(c) of the Trust Agreement. All distributions related to Trustee compensation and expense reimbursements were made in accordance with the Trust Agreement guidelines and applicable By-laws.

B. Trust Advisory Committee

John A. Baden, IV, Russell W. Budd, Robert J. Cooney, Steven Kazan, Peter A. Kraus, Bruce Mattock, and Perry Weitz served as Members of the TAC during the Reporting Period. The compensation and expenses paid to the Members of the TAC during the Reporting Period is set forth in the Trust's financial statements. The inclusion of this information in the Trust's financial statements satisfies the requirements of Section 5.6 of the Trust Agreement. All distributions related to compensation and expense reimbursements to Members of the TAC were made in accordance with the Trust Agreement guidelines and applicable By-laws.

C. Future Claimants' Representative

Eric D. Green served as the FCR during the Reporting Period. The compensation and expenses paid to the FCR during the Reporting Period is set forth in the Trust's financial statements. The inclusion of this information in the Trust's financial statements satisfies the requirements of Section 6.5 of the Trust Agreement. All distributions related to FCR compensation and expense reimbursements were made in accordance with the Trust Agreement guidelines and applicable By-laws.

D. Claims Processing

The Delaware Claims Processing Facility, LLC continues to process The Babcock & Wilcox Company Asbestos PI Trust claims. The terms of the Trust's ownership interest in the Delaware Claims Processing Facility are detailed in the Audited Financial Statements.¹

E. Investment Management:

Cambridge Associates LLC of Boston, Massachusetts continues to serve as the Trust's investment advisor. Cambridge Associates represents other asbestos settlement trusts and has significant experience advising such trusts regarding investment management. Cambridge Associates advises the Trustees on asset allocation, meeting liquidity needs, and the selection and oversight of individual investment managers for the investable portions of the Trust's portfolio. The Trust's invested assets are allocated in compliance with the Trust's investment guidelines. At the end of the Reporting Period, the target allocation was as follows: 54.9% of the Trust's invested assets are committed to fixed income (14.1% is allocated to short-term municipal bonds and/or cash and 40.8% to intermediate-term municipal bonds); 8.1% of the Trust's invested assets are committed to hedge funds; and the remaining 36.9% of the Trust's

¹ Audited Financial Statements at Note 3.

invested assets are committed to equities (22.9% are allocated to U.S. equity managers and 14.1% are allocated to non-U.S. equity managers). The portfolio was roughly in line with the target allocation at year-end 2025.

The Trust continues to retain the following managers: Harding, Loevner LP, and Northern Trust as non-U.S. equity managers; Northern Trust as U.S. equity manager; Eaton Vance/Parametric and Standish Mellon as intermediate-term municipal bond managers; and IR+M as a short-term municipal bond manager. Northern Trust served as Custodian for the Trust's separately-managed investment accounts. The Trust utilizes custodian accounts, wire transfers and zero-balance banking accounts to reduce its exposure to systemic banking system risk.

The Trust was invested with the following hedge funds during the Reporting Period: Davidson Kempner Partners, , Two Sigma Beacon Fund, Parametric Defensive Equity, and LL Mezzanine ABS Fund. The Trust is invested in its hedge fund managers through commingled Limited Partnership vehicles. Limited Partnerships utilize independent third-party administrators and a separate custodian. The managers in the Trust's hedge fund program invest in well-diversified multi-strategy hedge funds and in long/short equity strategies, as well as credit opportunities. Broadly speaking, the hedge fund program is intended to generate, over a full market cycle, close to equity-like returns with lower volatility and lower correlation to the rest of the Trust's portfolio. The other expected benefits of the hedge fund program are diversification (e.g., access to specialized strategies not otherwise available in the other equity or fixed income investments), superior performance (versus long-only equities) in down equity markets, and access to some of the most talented investment managers. At Cambridge Associates' recommendation, the Trust has retained hedge fund managers who use no or minimal leverage,

who employ trading strategies that are understandable to the Trustees, and who provide appropriate portfolio transparency to Cambridge Associates and to the Trust.

During the Reporting Period, the Trustees regularly met in person, virtually and by telephone conference with Cambridge for updates and reports on the investments.

F. Insurance Coverage Matters:

Prior to the Effective Date of the Plan of Reorganization, the Debtors and other Plan Proponents reached settlement agreements that required the Debtors' historical insurers to make cash payments to or for the benefit of the Trust. Certain of those agreements required the settling insurers to make payments into escrow accounts during the pendency of the bankruptcy case; those escrow accounts were released to the Trust in the first quarter of 2006. The remainder of those agreements required the settling insurers to make payments to the Trust after the Plan's Effective Date in 2006; the Trust now has received all such payments.

Since 2006, the Trust's Special Insurance Counsel (Gilbert LLP) has engaged in settlement discussions with, and has filed claims in the insolvency proceedings of, the Debtors' historical insurers with which the Debtors and other Plan Proponents did not settle in advance of the Plan's Effective Date. All settlement discussions and insolvency filings commenced to date have concluded, resulting in additional recoveries for the Trust. The Trust continues to receive some of these recoveries, including when insolvent insurers accelerate distributions or increase their distribution percentages. The Trust continues to monitor potential opportunities to recover additional sums.

The Trust anticipates that its insurance-recovery efforts will continue at least through 2026.

G. General Counsel

Campbell & Levine, LLC of Pittsburgh, Pennsylvania and Wilmington, Delaware continued to serve as general counsel to the Trust.

IV. ANNUAL REPORT AND ACCOUNT

A. Summary of Claims:

As of December 31, 2025, the Trust had paid a total of 9,241 Pre-Petition Liquidated PI Trust Claims. Of the claims paid, there were 682 malignancy claims and 8,559 non-malignancy claims. After application of the payment percentage and applicable sequencing adjustment, the Trust has paid approximately \$62.3 million to asbestos victims in settlement of their Pre-Petition Liquidated PI Trust Claims. The malignant to nonmalignant ratio of the Pre-Petition Liquidated PI Trust Claims paid in number was 1/13 and the malignant to nonmalignant ratio of the Pre-Petition Liquidated Trust Claims in dollars paid was 1.1/1.

As of December 31, 2025, the Trust had received 773,972 Unliquidated PI Trust Claims and had paid a total of 421,500 claims. Of the claims paid, there were 113,127 malignancy claims and 308,373 non-malignancy claims. After application of the payment percentage and applicable sequencing adjustment, the Trust had paid approximately \$1.965 billion to asbestos victims in settlement of their Unliquidated PI Trust Claims. The malignant to nonmalignant ratio of the Unliquidated PI Trust Claims paid in number was 1/2.7 and the malignant to nonmalignant ratio of the Unliquidated Trust Claims in dollars paid was 3.1/1.

During the Reporting Period, the Trust paid a total of 0 (zero) Pre-Petition Liquidated PI Trust Claims. After application of the payment percentage and applicable sequencing adjustment, the Trust paid \$0 to asbestos victims in settlement of their Pre-Petition Liquidated PI Trust Claims.

During the Reporting Period, the Trust received 26,604 Unliquidated PI Trust Claims. Out of the Trust's pending claims filed since inception, the Trust paid a total of 18,555 claims during the Reporting Period. Of the claims paid, there were 4,341 malignancy claims and 14,214 non-malignancy claims. After application of the payment percentage and applicable sequencing adjustment, the Trust paid approximately \$19.89 million to asbestos victims in settlement of their Unliquidated PI Trust Claims. The malignant to nonmalignant ratio of the Unliquidated PI Trust Claims paid in number was 1/3.3 and the malignant to nonmalignant ratio of the Unliquidated Trust Claims in dollars paid was 2.1/1.

A summary of the claims processing procedures and policies may be found at the Trust website at www.bwasbestostrust.com.

B. Financial Information

The Trust's audited financial statements for the Reporting Period are attached hereto as Exhibit "A." The financial statements were audited by BDO USA LLP.

Date: April 28, 2026

Respectfully Submitted,

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